

Order books and the NBBO

National Best Bid and Offer

NASDAQ • XYZ

SELL / ASK	SIZE	PRICE
	200	50.07
	400	50.05
BEST	100	50.04

— spread = \$0.03 —

BUY / BID

BEST	300	50.01
	500	50.00
	200	49.99

TOP OF BOOK • XYZ

VENUE	BID	ASK	SPREAD
NYSE	50.00	50.05	0.05
Nasdaq	50.01	50.04	0.03
Cboe BZX	50.02	50.06	0.04
IEX	50.01	50.06	0.05

best bid and best ask sit
on different venues

NBBO • XYZ

BEST BID	BEST ASK
\$50.02	\$50.04
Cboe BZX	Nasdaq

spread \$0.02

tighter than any single
venue's own spread